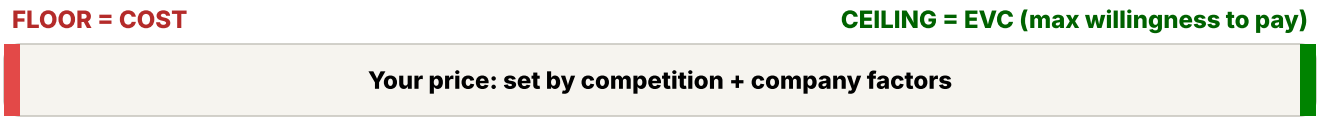
TOPIC ⑧ · RECORDED PRICING LECTURE

Pricing Basics: Ceiling, Floor, and What Decides In Between

PLAIN ENGLISH

Every price lands between two walls. The **floor** is your cost: below it you lose money. The **ceiling** is the most the product is worth to the customer. Where you land depends on **competitors** and **your own goals**.



Kahn: "What's the highest thing customers are willing to pay? Where are your costs? We're gonna price somewhere in between."

The ceiling: EVC (Economic Value to the Customer) 🎤 CLASS

EVC = the value of your product to the customer, **in dollars, in the customer's terms**. It's common in **B2B** (software, services, energy) where savings are measurable; consumer markets rely more on branding. Even if you don't get the full EVC, showing it **raises the customer's reference point** (electric cars vs. gas savings, energy-efficient appliances).

THE POOL PILL (PROF. RAJU'S POOL): THE CLASS EXAMPLE

A 20,000-gallon pool. Draining costs $1 per 1,000 gal = **$20**; refilling costs $1 per 100 gal = **$200**. Total **$220** plus headache. A pill keeps the water clean under the cover he uses anyway. A student said "$450" (adding his time).

Kahn's point: EVC says $220+, but the real price will be about **$10–20**, because:

① **Fairness**: it's about $0.50 of chlorine, and people won't pay $220 for that.

② **Competitive rivalry**: "a $200 margin on 50 cents of chlorine? I'm gonna come in for $100," then $50…

With **no competition** and a strong R&D story (pharma), you *could* charge near EVC.

The floor: two ways to count cost 🎤 CLASS

Markup

Cost + a %. **Costco ~11%**, **Walmart ~25%**.

Break-even based

Each unit also carries a share of **fixed costs**: “you're really covering your cost if you do it this way.” In BeWood you do both.

⭐ The widget problem: “there is a right answer”

	Sell 1,000 at $7	Sell 750 at $7
Revenue	$7,000	$5,250
Variable cost ($1/unit)	−$1,000	−$750
Fixed + overhead	−$4,500	−$4,500
Profit	**$1,500**	**$0**

ANSWER: LOWER THE PRICE

Costs are mostly **fixed**, so you need **volume** to cover them: “cover the fixed.” Scenario analysis: raising the price loses money whether volume falls 5% or 33%; lowering it makes money in both cases.

THE FLIP SIDE: VARIABLE-COST-HEAVY → RAISE

Jesse's sushi **omakase**: expensive fish and chef time on every seat, so he should keep raising the price (“it's always gonna go up”). The cheaper front of the restaurant brings volume to cover the building.

What decides where you land

Company factors

1. **Maximize profit**: charge each person their max (legal price discrimination, see topic ⑨)
2. **Cover costs**: depends on cost structure
3. **Product-line logic**: “I can't have my premium product less than my cheap product”

Competition = game theory: **can** they match (their costs)? **Will** they? **Warby Parker** came in at **$95** vs Luxottica's ~**$300**. Luxottica (owns brands and retailers) *could* have matched and knocked Warby out, but **wouldn't**: too much margin at stake, and it couldn't raise prices back. Its CEO just waved off students' questions. (Raju helped Warby's founder set the price.)

Practice: multiple choice (8), with answers

MC 1 [SAID IN CLASS]

In Kahn's pricing framework, the price CEILING and FLOOR are:

- **✔ CORRECT: Ceiling = EVC (max the customer should pay); floor = cost**
- Ceiling = competitor price; floor = zero
- Ceiling = cost; floor = EVC
- Ceiling = list price; floor = sale price

> **EXPLANATION**
> Price lands between them, decided by competition and company factors.

MC 2 [SAID IN CLASS]

The pool pill saves $20 (drain) + $200 (refill) + headache. Why did Kahn expect the realistic price to be only ~$10–20?

- **✔ CORRECT: Fairness (it's ~$0.50 of chlorine) and competitive rivalry (a big margin invites cheaper rivals)**
- EVC is always wrong
- The cover costs more
- People never value their time

EXPLANATION

EVC sets the ceiling, but customers balk at unfair margins and rivals undercut. With no competition (think pharma plus an R&D story), price could approach EVC.

MC 3 [SAID IN CLASS]

Why is EVC used so often in B2B pricing?

- **✔ CORRECT: Savings can be quantified in the customer's terms, which raises their reference point even if you don't get the full EVC**
- B2B buyers never compare
- It's legally required
- B2B has no costs

EXPLANATION

Showing a customer '$X saved per year' anchors the negotiation higher.

MC 4 [SAID IN CLASS]

A firm sells 1,000 widgets at $7 (variable cost $1/unit; fixed + overhead $4,500). Sales fall to 750 and profit is $0. What should it do?

- ✔ **CORRECT: Lower the price to drive volume and 'cover the fixed'**
- Raise the price to restore margin
- Keep the price and cut ads
- Raise the price because fixed costs are sunk

EXPLANATION

Most costs are fixed, so you need volume. Raising the price loses money in both the optimistic and pessimistic scenarios.

MC 5 [SAID IN CLASS]

Jesse's sushi omakase has very high per-seat costs (fish, chef time). Its price should:

- ✔ **CORRECT: Keep rising: it's variable-cost-heavy**
- Fall to fill seats
- Equal the cheap front-room menu
- Be set at cost

EXPLANATION

Variable-cost-heavy → raise price, since each unit must carry its margin. The cheaper front room brings volume to cover the building.

MC 6 [SAID IN CLASS]

Costco's ~11% and Walmart's ~25% are examples of:

- **✔ CORRECT: Markup pricing (cost + %)**
- Break-even pricing
- EVC
- Skimming

EXPLANATION

Markup = cost plus a percentage. The other cost method also spreads fixed costs over units (break-even).

MC 7 [SAID IN CLASS]

Warby Parker priced glasses at $95 vs Luxottica's ~$300. Why didn't Luxottica match?

- **✔ CORRECT: It could have, but matching would sacrifice huge margins it couldn't recover; it judged Warby too small to bother**
- Its costs were above $95
- Antitrust law
- It had no stores

EXPLANATION

Competitive response = can they AND will they. Incumbents with lots of margin at stake often ignore small entrants.

MC 8 [SAID IN CLASS]

Which is a COMPANY factor in setting price (vs a competitive factor)?

- **✔ CORRECT: Product-line consistency: the premium version can't cost less than the cheap one**
- Whether a rival will match
- A rival's cost structure
- Game-theory response

EXPLANATION

Company factors: maximize profit (price discrimination), cover costs, keep the product line logical.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Prof. Raju's pool: draining costs $1/1,000 gal and refilling $1/100 gal for 20,000 gallons; a pill keeps the water clean under the cover he uses anyway. Using EVC, what's the most he should pay, and what price would you actually expect? Why?

What a full-credit answer covers

- EVC: $20 + $200 = $220 plus hassle; cover not incremental
- EVC = ceiling / max willingness to pay; price must be below it
- Fairness: ~$0.50 chlorine → customers reject a huge margin
- Competitive rivalry → entrants undercut → realistic ~$10–20
- Contrast: no competition + R&D story (pharma) → closer to EVC; EVC still raises the reference point

MODEL ANSWER

The pill replaces $20 of drainage (20,000 gallons × $1/1,000) and $200 of refill water (20,000 × $1/100), plus his time and hassle. The cover isn't counted because he uses it anyway. So the EVC, the most a fully informed customer should pay, is about $220 plus the value of the headache. But Kahn argued the realistic price would be around $10–20 for two reasons. Fairness: anyone who knows it's about $0.50 of chlorine won't pay $220. Competitive rivalry: a $200 margin invites rivals at $100, then $50, until the price settles near a sustainable level. Without competition and with a credible R&D story, as in pharma, a seller could price nearer EVC. Quantifying EVC is still useful because it raises the customer's reference point.

SHORT ANSWER 2 (9 points)

A fixed-cost-heavy business just lost 25% of its volume and a colleague wants to raise prices. Evaluate, and explain how the answer changes for a variable-cost-heavy business.

What a full-credit answer covers

- Fixed-cost-heavy → need volume → lower price ('cover the fixed')
- Widget numbers: 1,000 → $1,500 profit; 750 → $0
- Scenario analysis: raising price loses money in both optimistic and pessimistic cases
- Variable-cost-heavy → raise price (omakase)
- Mentions competition/price sensitivity/fairness as checks

MODEL ANSWER

I'd push back. When most costs are fixed, profit depends on volume. In the class widget example, 1,000 units at $7 earned $1,500, but at 750 units the $4,500 of fixed and overhead costs wiped out all profit. Raising the price shrinks volume further and leaves the fixed costs uncovered; Kahn showed it loses money whether volume falls 5% or 33%, while lowering the price makes money in both cases. So lower the price and 'cover the fixed.' For a variable-cost-heavy business like Jesse's omakase, each unit carries large costs, so you need margin on every unit and the price should rise. Either way, check rivals' likely responses and customers' price sensitivity.

SHORT ANSWER 3 (9 points)

A startup enters at one-third of a dominant incumbent's price. Will the incumbent respond, and what should the startup consider?

What a full-credit answer covers

- Can they match (costs) vs will they (incentives)
- Warby $95 vs Luxottica ~$300: could but wouldn't (margin at stake; can't raise back)
- Incumbent may ignore a small player until it grows
- Startup: price between cost and EVC; positioning (Brand + Low Price)
- Plan for eventual response: scale, loyalty, differentiation

MODEL ANSWER

Probably not at first. Competitive response is game theory: can the incumbent match (does its cost structure allow it), and will it? Luxottica, which owns brands and retailers and sold glasses around $300, could easily have matched Warby Parker's $95 and knocked it out. It didn't, because cutting price would sacrifice huge margins it couldn't easily restore, for a player it didn't take seriously. The startup should price between its cost and the customer's EVC, make the low price credible through positioning (Warby paired brand with low price by cutting the middleman), and scale before the incumbent reacts, while building loyalty in case a price war comes later.